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Investor Presentation | Asia Pacific

No Pivot Yet—but Watch Closely

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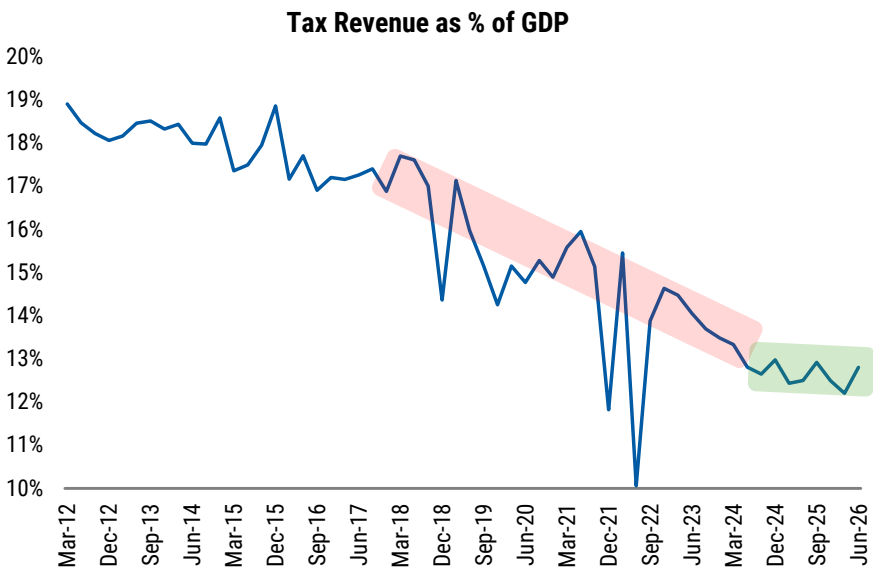
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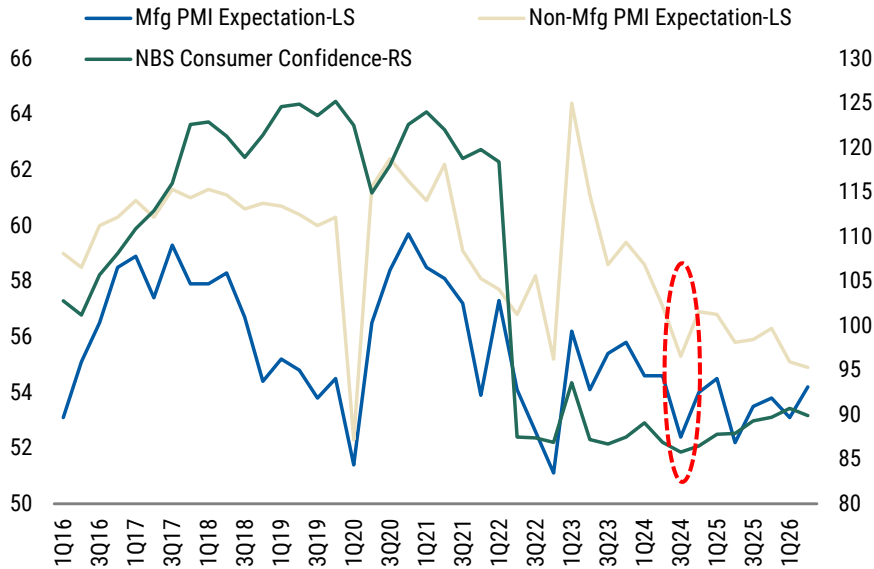
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We Are Not at a Pivotal Juncture Akin to Sep-24 Yet

Government financing has stabilized, somewhat



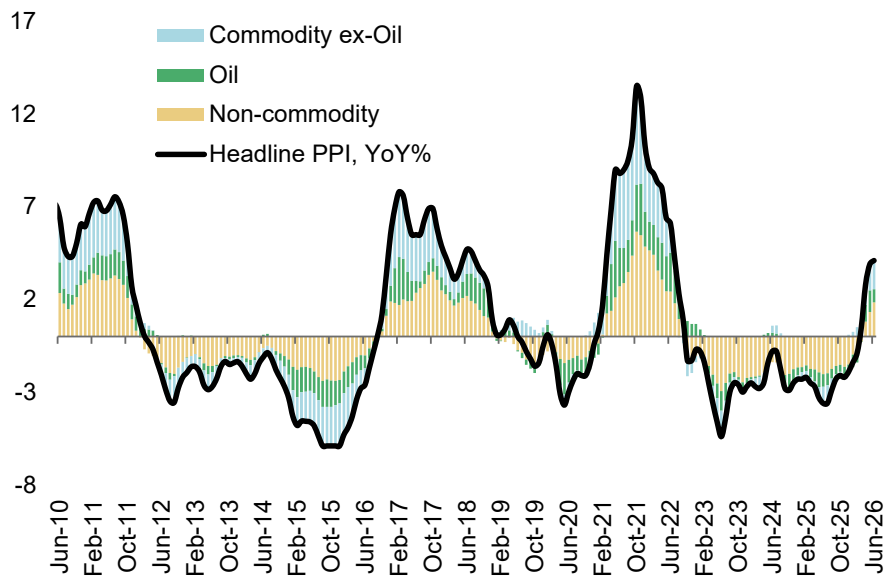
Social dynamics are above their trough



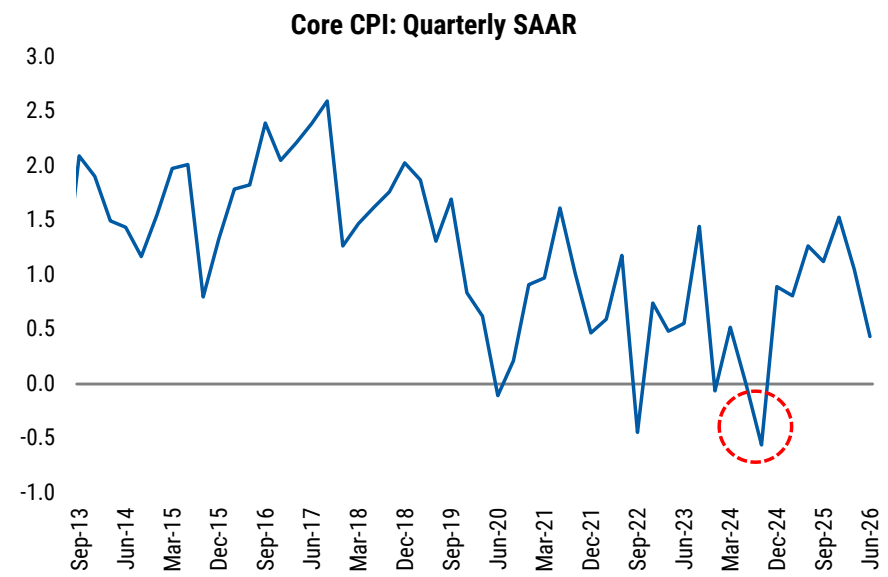
Source: CEIC, Morgan Stanley Research

Deflation Has Eased Off Its Worse

PPI has exited multi-year deflation, helped by AI demand and imported cost pressures



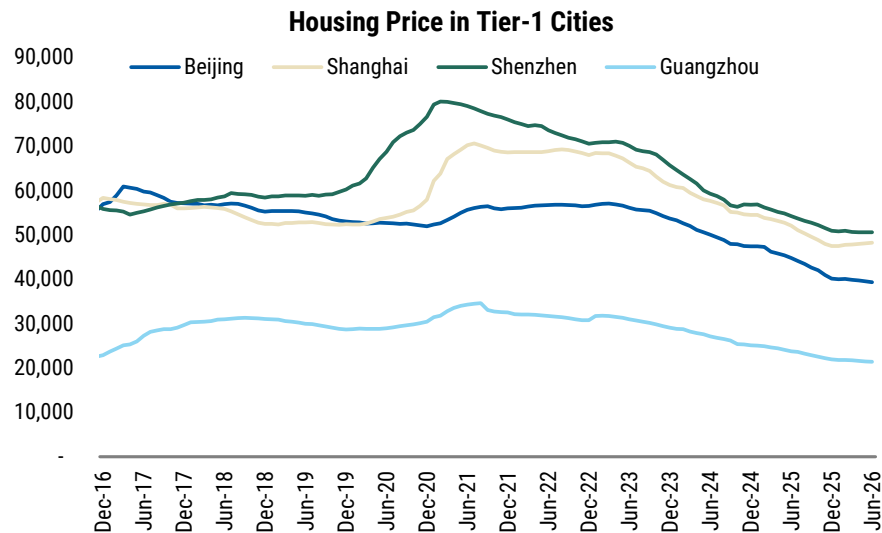
Core CPI has rebounded sharply since 3Q24, though it has moderated YTD



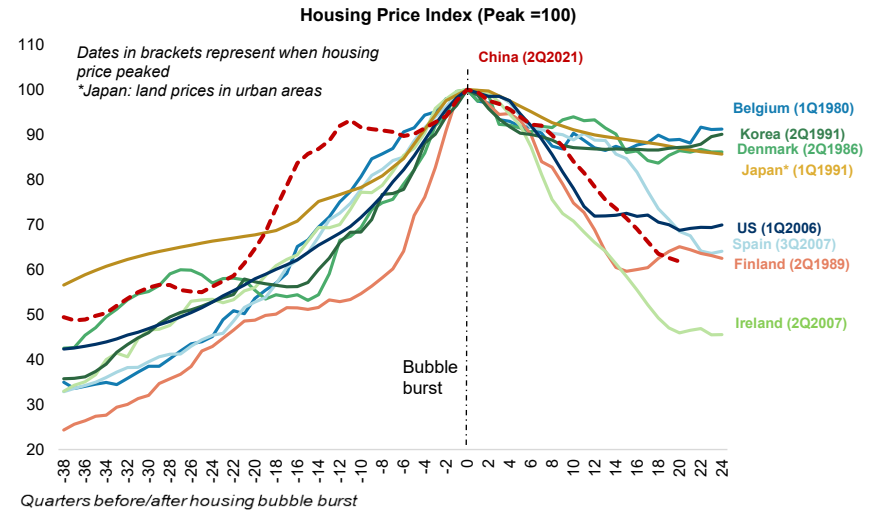
Source: CEIC, Morgan Stanley Research

Housing Correction Is Moderating

A few top-tier cities have shown signs of stabilization...



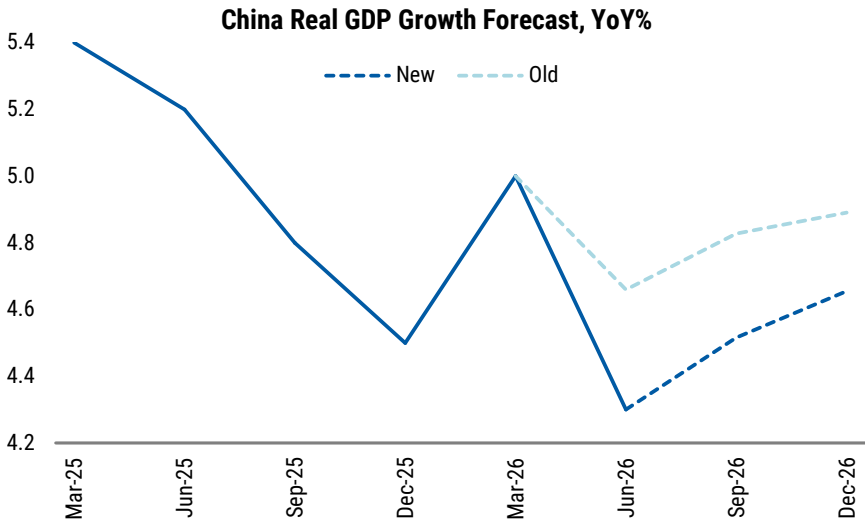
...even though the broader market remains in a downward trend



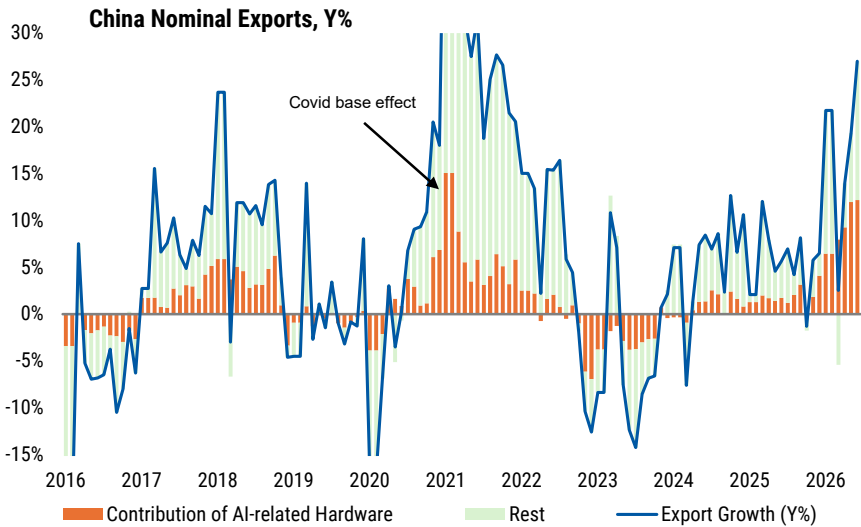
Source: BIS, Bingshan, Morgan Stanley Research

Growth Remains within Target

1H GDP growth was within official target, while 2H growth remains anchored...



...led by AI- and export-led industrial activities, and a low base

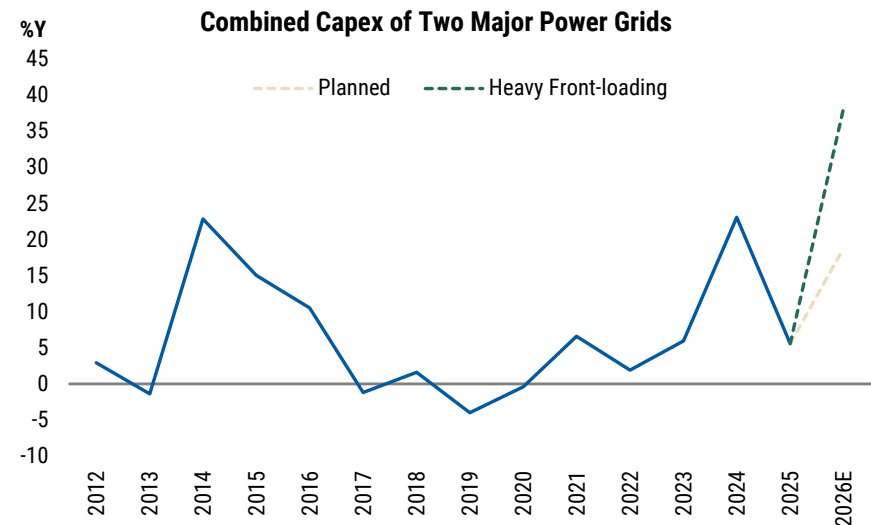
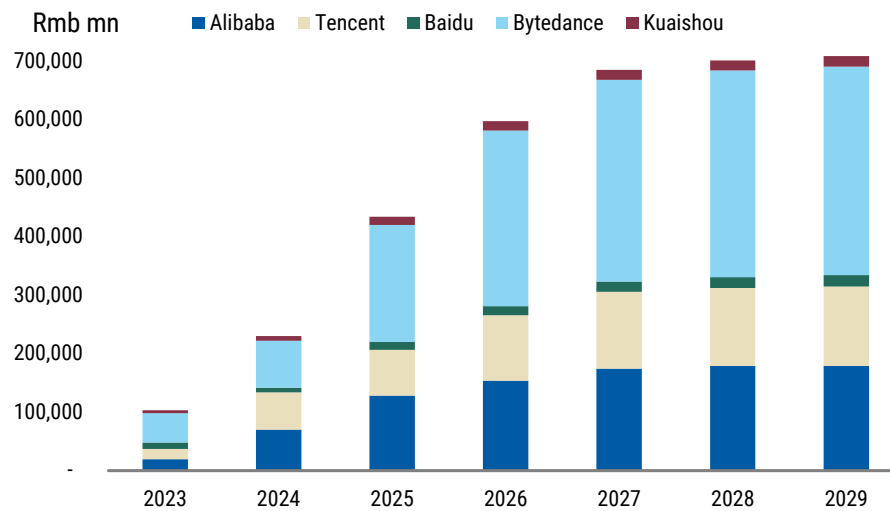


Source: CEIC, Morgan Stanley Research estimates

Investment: Cushion, Not Lift

Top hyperscalers to add around ~0.2ppt to annual GDP growth in 2026–27

A noticeable 2026 GDP boost from power grid capex requires heavy front-loading of 2026–30 investment



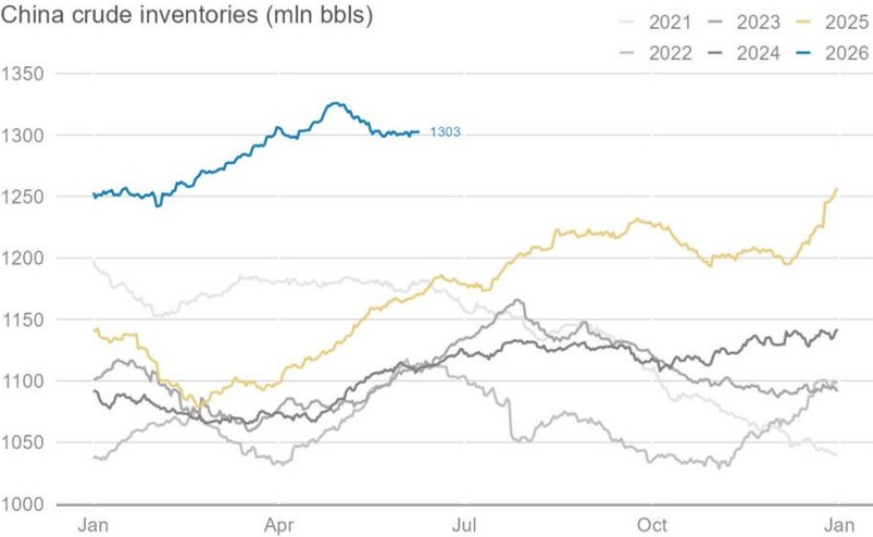
A decisive turnaround in investment elsewhere remains elusive:

- Construction-intensive infrastructure remains constrained by **local-government debt dynamics**
- Manufacturing investment is capped by **persistent overcapacity**
- Property investment remains capped by **inventory overhang in lower-tier cities**

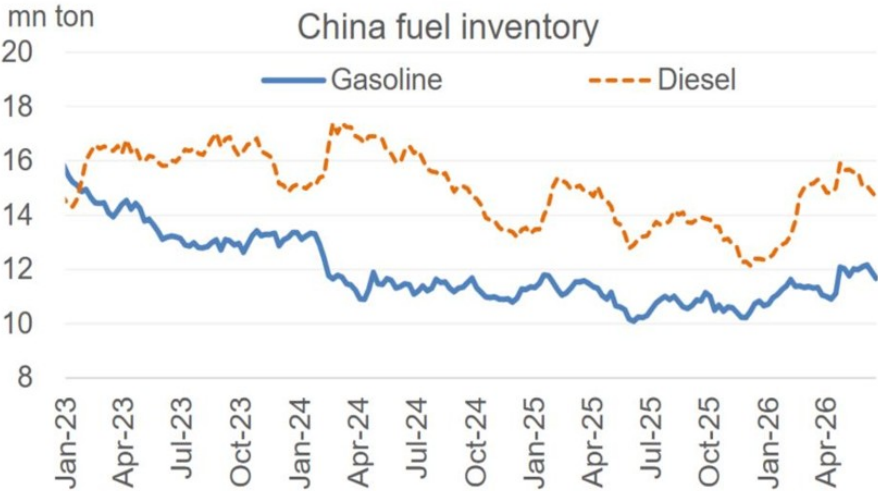
Source: CEIC, Company data, Morgan Stanley Research estimates

When May China Start to Lift Oil Imports?

Observable Chinese crude inventories continued to build over March and April



Refined fuel inventory has been elevated since SoH disruptions



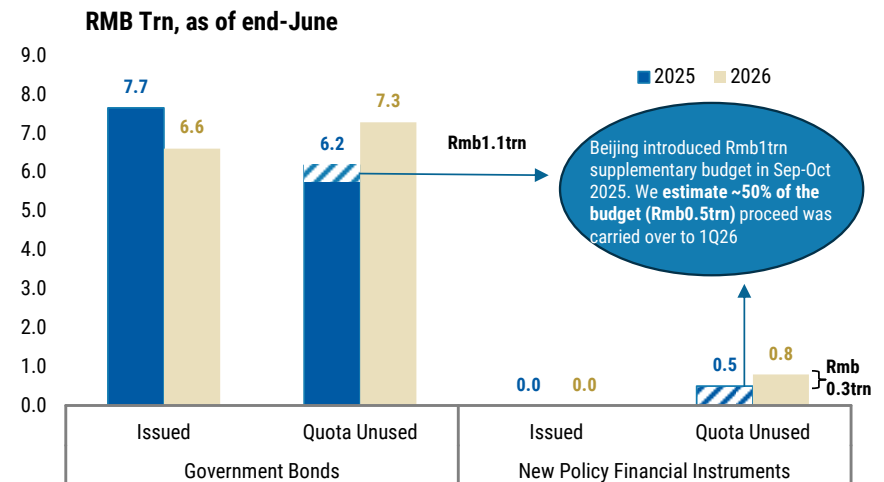
Source: Vortexa, Oilchem, SCI, Morgan Stanley Research

What to Expect from Here

Politburo preview: faster execution, no new stimulus package

~Rmb2trn of unused in-budget fiscal and quasi-fiscal impulse for the second half of the year

	Politburo Meeting Readout	
	Apr 2026 Meeting	July 2026 Meeting Preview
Economic Assessment	Economy off to a strong start, key indicators better than expected	Recognize some downside pressure in the economy
Policy Stance	Targeted and effective policy implementation	Faster budget rollout, not budget expansion
Policy Priorities	Supply-centric, with a focus on AI+ and energy security	Likely unchanged



July and August will provide an important test of both the economy and policy delivery. If activity and policy implementation still fail to improve by September, the likelihood of additional easing should rise.

Source: CEIC, Morgan Stanley Research estimates

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